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Illustration 11 (RATE)

Mr. Vivek took a loan of ` 2,00,000 from State Bank of India, Chennai and number of installments is 84 months. Calculate the rate assuming payments ` 3,300 per month using appropriate function.

Solution

Procedure

(i) Open a new spreadsheet in MS-Excel

ii). Enter values in the cells as given below

	A	B
1	Number of instalments (nper)	84
2	Periodic payment (pmt)	3300
3	Loan amount (pv)	-200000
4	FV	0
5	Type	0

iii) Compute RATE in the cell B6 by the formula

=RATE(B1,B2,B3,B4,B5)*12

Answer 10%

Illustration 12 (Computation of interest on overdue)

Sara Ltd., sells goods on credit basis. Their policy is to charge interest @ 2% p.a., for the period of default. From the following data, find out the amount to be collected from each customer. Assume 365 days in the year.

Customer	Sales `	Date of Sales	Period of Credit (days)	Date of Settlement
M	25,000	10-04-2016	60	05-07-2016
N	14,000	28-05-2016	30	25-07-2016
P	28,000	14-07-2016	45	25-08-2016
R	54,000	03-08-2016	90	02-01-2017

Solution

Procedure

(i) Open a new spreadsheet in MS-Excel

(ii) Enter the table headings as given below in different cells

A1 Customer

B1 Sales (`)